

The Pros and Cons of EMI

Instead of mentioning the pros and cons separately, the following list is going to be an alternating list with a con following each pro of EMI. Read on.

- **Own the latest, best product now!**

This is the main trump card of EMI schemes in online shopping. EMI helps consumers buy products that used to be out of their budget. They can get high-end products at their doorstep with a few formalities as possible. This availability suddenly made everything more affordable and encouraged people to upgrade their life to the level they dreamed of.

- **Unwanted splurges**

Instant affordability of products also encouraged people to buy products they don't need. This amplified their monthly expenditure by huge margins. Especially for the financially naive group of people who couldn't understand the various schemes on offer and the inability to comprehend the terms and conditions.

- **Flexible EMIs available**

With liberal lending policies, the repayment policies also became much more liberal. Banks and NBFCs started listening to the customers, tailoring EMI plans to meet the customer's budget and capability.

- **Total Expenditure Out of Focus**

As lenders made EMIs more flexible, borrowers focused more on the monthly instalment they had to cough up, losing the long view of the complete amount they end up paying. Most EMI schemes are made to make more money for the lender, and thus the long-term burden of the borrower has to be kept in mind.

- **Lesser Immediate Burden**

As mentioned earlier, EMI payments reduced the immediate burden on the customer. Especially in comparison with credit cards, where the interest rate is much higher if the due amount is not paid off within the month. With EMI, customers can plan their expenditure according to their monthly income.

- **Prepayment Charges**

While a lot of lenders, especially NBFCs, forgo prepayment charges now, banks usually don't encourage prepayment of loans as they lose out on